



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

HB 4163: K-12 education; 2026-2027

LIVINGSTON FLOOR AMENDMENT

School Safety and Threat Identification Pilot Program Removal

1. Deletes all language that establishes the School Safety and Threat Identification Pilot Program.

Child Sexual Abuse and Assault Awareness and Prevention Pilot Program (Child Abuse Awareness Pilot Program) Modifications

2. Adds that the uniform child sexual abuse and assault response policy and reporting procedure may include uniform procedures for notifying, within 24 hours after any school personnel become aware of the incident, the parents of any student who is a victim of an incident involving child sexual abuse, child sexual assault, grooming, exploitation, grooming with the intent to exploit or technology-facilitated abuse.
3. Requires the Arizona Department of Education (ADE) to select an organization to provide by mail a printed copy of the educational materials designed for children in kindergarten or the 1st-12th grades (educational materials) on receipt of any request that is submitted by schools on behalf of parents of students.
4. Allows ADE, if sufficient monies are available, to reimburse the organization selected by ADE for the actual costs of providing printed copies of the educational materials to the parents of students.
5. Requires a public school participating in the Child Abuse Awareness Pilot Program, on enrollment of a student, to provide to the student's parent an opportunity to request a printed copy of the educational materials.
6. Stipulates that if a student's parent requests a printed copy of the educational materials and authorizes the school to disclose the parent's address, the:
 - a. school must submit the request and address to the organization selected by ADE; and
 - b. organization must mail a printed copy of the educational materials to the student's parent.

LIVINGSTON FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 4163
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 15-185, Arizona Revised Statutes, is amended to
3 read:

4 15-185. Charter schools; financing; civil penalties;
5 transportation; definition

6 A. A school district is not financially responsible for any charter
7 school that is sponsored by the state board of education, the state board
8 for charter schools, a university under the jurisdiction of the Arizona
9 board of regents, a community college district or a group of community
10 college districts.

11 B. Financial provisions for a charter school that is sponsored by
12 the state board of education, the state board for charter schools, a
13 university, a community college district or a group of community college
14 districts are as follows:

15 1. The charter school shall calculate a base support level as
16 prescribed in section 15-943, except that:

17 (a) Section 15-941 does not apply to these charter schools.

18 (b) The small school weights prescribed in section 15-943,
19 paragraph 1 apply if a charter holder holds one charter for one or more
20 school sites and the average daily membership for the school sites are
21 combined for the calculation of the small school weight. The small school
22 weight shall not be applied individually to a charter holder if one or
23 more of the following conditions exist and the combined average daily
24 membership derived from the following conditions is greater than six
25 hundred:

26 (i) The organizational structure or management agreement of the
27 charter holder requires the charter holder or charter school to contract
28 with a specific management company.

1 (ii) The governing body of the charter holder has identical
2 membership to another charter holder in this state.

3 (iii) The charter holder is a subsidiary of a corporation that has
4 other subsidiaries that are charter holders in this state.

5 (iv) The charter holder holds more than one charter in this state.

6 (c) Notwithstanding subdivision (b) of this paragraph, for fiscal
7 years 2015-2016 and 2016-2017, the department of education shall reduce by
8 thirty-three percent the amount provided by the small school weight for
9 charter schools prescribed in subdivision (b) of this paragraph.

10 2. Notwithstanding paragraph 1 of this subsection, the student
11 count shall be determined initially using an estimated student count based
12 on actual registration of pupils before the beginning of the school year.
13 Notwithstanding section 15-1042, subsection F, student level data
14 submitted to the department may be used to determine estimated student
15 counts. After the first forty days, one hundred days or two hundred days
16 in session, as applicable, the charter school shall revise the student
17 count to be equal to the actual average daily membership, as defined in
18 section 15-901, of the charter school. Before the fortieth day, one
19 hundredth day or two hundredth day in session, as applicable, the state
20 board of education, the state board for charter schools, the sponsoring
21 university, the sponsoring community college district or the sponsoring
22 group of community college districts may require a charter school to
23 report periodically regarding pupil enrollment and attendance, and the
24 department of education may revise its computation of equalization
25 assistance based on the report. A charter school shall revise its student
26 count, base support level and charter additional assistance before May 15.
27 A charter school that overestimated its student count shall revise its
28 budget before May 15. A charter school that underestimated its student
29 count may revise its budget before May 15.

30 3. A charter school may use section 15-855 for the purposes of this
31 section. The charter school and the department of education shall
32 prescribe procedures for determining average daily membership.

33 4. Equalization assistance for the charter school shall be
34 determined by adding the amount of the base support level and charter
35 additional assistance. The amount of the charter additional assistance is
36 ~~\$2,131.90~~ \$2,174.54 per student count in preschool programs for children
37 with disabilities, kindergarten programs and grades one through eight and
38 ~~\$2,484.69~~ \$2,534.38 per student count in grades nine through twelve.

39 5. The state board of education shall apportion state aid from the
40 appropriations made for such purposes to the state treasurer for
41 disbursement to the charter schools in each county in an amount as
42 determined by this paragraph. The apportionments shall be made as
43 prescribed in section 15-973, subsection B.

44 6. The charter school shall not charge tuition for pupils who
45 reside in this state, levy taxes or issue bonds. A charter school may
46 admit pupils who are not residents of this state and shall charge tuition
47 for those pupils in the same manner prescribed in section 15-823.

1 7. Not later than noon on the day preceding each apportionment date
2 established pursuant to paragraph 5 of this subsection, the superintendent
3 of public instruction shall furnish to the state treasurer an abstract of
4 the apportionment and shall certify the apportionment to the department of
5 administration, which shall draw its warrant in favor of the charter
6 schools for the amount apportioned.

7 C. If a pupil is enrolled in both a charter school and a public
8 school that is not a charter school, the sum of the daily membership,
9 which includes enrollment as prescribed in section 15-901, subsection A,
10 paragraph 1, subdivisions (a) and (b) and daily attendance as prescribed
11 in section 15-901, subsection A, paragraph 5, for that pupil in the school
12 district and the charter school shall not exceed 1.0. If a pupil is
13 enrolled in both a charter school and a public school that is not a
14 charter school, the department of education shall direct the average daily
15 membership to the school with the most recent enrollment date. On
16 validation of actual enrollment in both a charter school and a public
17 school that is not a charter school and if the sum of the daily membership
18 or daily attendance for that pupil is greater than 1.0, the sum shall be
19 reduced to 1.0 and shall be apportioned between the public school and the
20 charter school based on the percentage of total time that the pupil is
21 enrolled or in attendance in the public school and the charter school.
22 The uniform system of financial records shall include guidelines to
23 apportion the pupil enrollment and attendance as provided in this section.

24 D. Charter schools are allowed to accept grants and gifts to
25 supplement their state funding, but it is not the intent of the charter
26 school law to require taxpayers to pay twice to educate the same pupils.
27 The base support level for a charter school or for a school district
28 sponsoring a charter school shall be reduced by an amount equal to the
29 total amount of monies received by a charter school from a federal or
30 state agency if the federal or state monies are intended for the basic
31 maintenance and operations of the school. The superintendent of public
32 instruction shall estimate the amount of the reduction for the budget year
33 and shall revise the reduction to reflect the actual amount before May 15
34 of the current year. If the reduction results in a negative amount, the
35 negative amount shall be used in computing all budget limits and
36 equalization assistance, except that:

37 1. Equalization assistance shall not be less than zero.

38 2. For a charter school sponsored by the state board of education,
39 the state board for charter schools, a university, a community college
40 district or a group of community college districts, the total of the base
41 support level and the charter additional assistance shall not be less than
42 zero.

43 E. If a charter school was a district public school in the prior
44 year and sponsored by the state board of education, the state board for
45 charter schools, a university, a community college district or a group of
46 community college districts, the reduction in subsection D of this section
47 applies. The reduction to the base support level of the charter school

1 shall equal the sum of the base support level and the charter additional
2 assistance received in the current year for those pupils who were enrolled
3 in the traditional public school in the prior year and are now enrolled in
4 the charter school in the current year.

5 F. Equalization assistance for charter schools shall be provided as
6 a single amount based on average daily membership without categorical
7 distinctions between maintenance and operations or capital.

8 G. At the request of a charter school, the county school
9 superintendent of the county where the charter school is located may
10 provide the same educational services to the charter school as prescribed
11 in section 15-308, subsection A. The county school superintendent may
12 charge a fee to recover costs for providing educational services to
13 charter schools.

14 H. If the sponsor of the charter school determines at a public
15 meeting that the charter school is not in compliance with federal law,
16 with the laws of this state or with its charter, the sponsor of a charter
17 school may submit a request to the department of education to withhold up
18 to ten percent of the monthly apportionment of state aid that would
19 otherwise be due the charter school. The department shall adjust the
20 charter school's apportionment accordingly. The sponsor shall provide
21 written notice to the charter school at least seventy-two hours before the
22 meeting and shall allow the charter school to respond to the allegations
23 of noncompliance at the meeting before the sponsor makes a final
24 determination to notify the department of education of noncompliance. The
25 charter school shall submit a corrective action plan to the sponsor on a
26 date specified by the sponsor at the meeting. The corrective action plan
27 shall be designed to correct deficiencies at the charter school and to
28 ensure that the charter school promptly returns to compliance. When the
29 sponsor determines that the charter school is in compliance, the
30 department shall restore the full amount of state aid payments to the
31 charter school.

32 I. In addition to the withholding of state aid payments pursuant to
33 subsection H of this section, the sponsor of a charter school may impose a
34 civil penalty of \$1,000 per occurrence if a charter school fails to comply
35 with the fingerprinting requirements prescribed in section 15-183,
36 subsection C or section 15-512. The sponsor of a charter school shall not
37 impose a civil penalty if it is the first time the charter school is out
38 of compliance with the fingerprinting requirements and if the charter
39 school provides proof within forty-eight hours after written notification
40 that an application for the appropriate fingerprint check has been
41 received by the department of public safety. The sponsor of the charter
42 school shall obtain proof that the charter school has been notified, and
43 the notification shall identify the date of the deadline and shall be
44 signed by both parties. The sponsor of a charter school shall
45 automatically impose a civil penalty of \$1,000 per occurrence if the
46 sponsor determines that the charter school subsequently violates the
47 fingerprinting requirements. Civil penalties pursuant to this subsection

1 shall be assessed by requesting the department of education to reduce the
2 amount of state aid that the charter school would otherwise receive by an
3 amount equal to the civil penalty. The amount of state aid withheld shall
4 revert to the state general fund at the end of the fiscal year.

5 J. A charter school may receive and spend monies distributed by the
6 department of education pursuant to section 42-5029, subsection E, section
7 42-5029.02, subsection A and section 37-521, subsection B.

8 K. If a school district transports or contracts to transport pupils
9 to the Arizona state schools for the deaf and the blind during any fiscal
10 year, the school district may transport or contract with a charter school
11 to transport sensory impaired pupils during that same fiscal year to a
12 charter school if requested by the parent of the pupil and if the distance
13 from the pupil's place of actual residence within the school district to
14 the charter school is less than the distance from the pupil's place of
15 actual residence within the school district to the campus of the Arizona
16 state schools for the deaf and the blind.

17 L. Notwithstanding any other law, a university under the
18 jurisdiction of the Arizona board of regents, a community college district
19 or a group of community college districts shall not include any student in
20 the student count of the university, community college district or group
21 of community college districts for state funding purposes if that student
22 is enrolled in and attending a charter school sponsored by the university,
23 community college district or group of community college districts.

24 M. The governing body of a charter school shall transmit a copy of
25 its proposed budget or the summary of the proposed budget and a notice of
26 the public hearing to the department of education for posting on the
27 department of education's website not later than ten days before the
28 hearing and meeting. If the charter school maintains a website, the
29 charter school governing body shall post on its website a copy of its
30 proposed budget or the summary of the proposed budget and a notice of the
31 public hearing.

32 N. The governing body of a charter school shall collaborate with
33 the private organization that is approved by the state board of education
34 pursuant to section 15-792.02 to provide approved board examination
35 systems for the charter school.

36 O. If allowed by federal law, a charter school may opt out of
37 federal grant opportunities if the charter holder or the appropriate
38 governing body of the charter school determines that the federal
39 requirements impose unduly burdensome reporting requirements.

40 P. For the purposes of this section, "monies intended for the basic
41 maintenance and operations of the school" means monies intended to provide
42 support for the educational program of the school, except that it does not
43 include supplemental assistance for a specific purpose or title VIII of
44 the elementary and secondary education act of 1965 monies. The auditor
45 general shall determine which federal or state monies meet this
46 definition.

1 Sec. 2. Section 15-901, Arizona Revised Statutes, is amended to
2 read:

3 15-901. Definitions

4 A. In this title, unless the context otherwise requires:

5 1. "Average daily membership" means the total enrollment of
6 fractional students and full-time students, minus withdrawals, of each
7 school day through the first one hundred days or two hundred days in
8 session, as applicable, for the current year. For the purposes of this
9 paragraph, "withdrawals" means students who are formally withdrawn from
10 schools or students who are absent for ten consecutive school days, except
11 for excused absences identified by the department of education. For
12 computation purposes, a student who is absent for nine or fewer
13 consecutive school days, including the last day of the school year, is not
14 a withdrawal and may not be subtracted from the total enrollment of
15 fractional students and full-time students. For the purposes of this
16 section, school districts and charter schools shall report student absence
17 data to the department of education at least once every sixty days in
18 session. For computation purposes, the effective date of withdrawal shall
19 be retroactive to the last day of actual attendance of the student or
20 excused absence. A school district or charter school may satisfy any of
21 the time and hours requirements prescribed in this subsection in any
22 manner prescribed in the school district's or charter school's
23 instructional time model adopted under section 15-901.08.

24 (a) "Fractional student" means:

25 (i) For common schools, a preschool child who is enrolled in a
26 program for preschool children with disabilities of at least three hundred
27 sixty minutes each week that meets at least two hundred sixteen hours over
28 the minimum number of days or a kindergarten student who is at least five
29 years of age before January 1 of the school year and enrolled in a school
30 kindergarten program that meets at least three hundred fifty-six hours for
31 a one hundred eighty-day school year, or the instructional hours
32 prescribed in this section. In computing the average daily membership,
33 preschool children with disabilities and kindergarten students shall be
34 counted as one-half of a full-time student. For common schools, a
35 part-time student is a student enrolled for less than the total time for a
36 full-time student as defined in this section. A part-time common school
37 student shall be counted as one-fourth, one-half or three-fourths of a
38 full-time student if the student is enrolled in an instructional program
39 that is at least one-fourth, one-half or three-fourths of the time a
40 full-time student is enrolled as defined in subdivision (b) of this
41 paragraph. The hours in which a student is scheduled to attend a common
42 school during the regular school day shall be included in the calculation
43 of the average daily membership for that student.

44 (ii) For high schools, a part-time student who is enrolled in less
45 than four subjects that count toward graduation as defined by the state
46 board of education, each of which, if taught each school day for the
47 minimum number of days required in a school year, would meet a minimum of

1 one hundred twenty-three hours a year, or the equivalent, in a recognized
2 high school. The average daily membership of a part-time high school
3 student shall be 0.75 if the student is enrolled in an instructional
4 program of three subjects that meet at least five hundred forty hours for
5 a one hundred eighty-day school year, or the instructional hours
6 prescribed in this section. The average daily membership of a part-time
7 high school student shall be 0.5 if the student is enrolled in an
8 instructional program of two subjects that meet at least three hundred
9 sixty hours for a one hundred eighty-day school year, or the instructional
10 hours prescribed in this section. The average daily membership of a
11 part-time high school student shall be 0.25 if the student is enrolled in
12 an instructional program of one subject that meets at least one hundred
13 eighty hours for a one hundred eighty-day school year, or the
14 instructional hours prescribed in this section. The hours in which a
15 student is scheduled to attend a high school during the regular school day
16 shall be included in the calculation of the average daily membership for
17 that student.

18 (b) "Full-time student" means:

19 (i) For common schools, a student who is at least six years of age
20 before January 1 of a school year, who has not graduated from the highest
21 grade taught in the school district and who is regularly enrolled in a
22 course of study required by the state board of education. First, second
23 and third grade students or ungraded group B children with disabilities
24 who are at least five, but under six, years of age by September 1 must be
25 enrolled in an instructional program that meets for a total of at least
26 seven hundred twelve hours for a one hundred eighty-day school year, or
27 the instructional hours prescribed in this section. Fourth, fifth, sixth,
28 seventh and eighth grade students must be enrolled in an instructional
29 program that meets for a total of at least eight hundred ninety hours for
30 a one hundred eighty-day school year, or the instructional hours
31 prescribed in this section, including the equivalent number of
32 instructional hours for schools that operate on a one hundred
33 forty-four-day school year. The hours in which a student is scheduled to
34 attend a common school during the regular school day shall be included in
35 the calculation of the average daily membership for that student.

36 (ii) For high schools, a student who has not graduated from the
37 highest grade taught in the school district and who is enrolled in at
38 least an instructional program of four or more subjects that count toward
39 graduation as defined by the state board of education, each of which, if
40 taught each school day for the minimum number of days required in a school
41 year, would meet a minimum of one hundred twenty-three hours a year, or
42 the equivalent, that meets for a total of at least seven hundred twenty
43 hours for a one hundred eighty-day school year, or the instructional hours
44 prescribed in this section in a recognized high school. A full-time
45 student shall not be counted more than once for computation of average
46 daily membership. The average daily membership of a full-time high school
47 student shall be 1.0 if the student is enrolled in at least four subjects

1 that meet at least seven hundred twenty hours for a one hundred eighty-day
2 school year, or the equivalent instructional hours prescribed in this
3 section. The hours in which a student is scheduled to attend a high
4 school during the regular school day shall be included in the calculation
5 of the average daily membership for that student.

6 (iii) If a child who has not reached five years of age before
7 September 1 of the current school year is admitted to kindergarten and
8 repeats kindergarten in the following school year, a school district or
9 charter school is not eligible to receive basic state aid on behalf of
10 that child during the child's second year of kindergarten. If a child who
11 has not reached five years of age before September 1 of the current school
12 year is admitted to kindergarten but does not remain enrolled, a school
13 district or charter school may receive a portion of basic state aid on
14 behalf of that child in the subsequent year. A school district or charter
15 school may charge tuition for any child who is ineligible for basic state
16 aid pursuant to this item.

17 (iv) Except as otherwise provided by law, for a full-time high
18 school student who is concurrently enrolled in two school districts or two
19 charter schools, the average daily membership shall not exceed 1.0.

20 (v) Except as otherwise provided by law, for any student who is
21 concurrently enrolled in a school district and a charter school, the
22 average daily membership shall be apportioned between the school district
23 and the charter school and shall not exceed 1.0. The apportionment shall
24 be based on the percentage of total time that the student is enrolled in
25 or in attendance at the school district and the charter school.

26 (vi) Except as otherwise provided by law, for any student who is
27 concurrently enrolled, pursuant to section 15-808, in a school district
28 and Arizona online instruction or a charter school and Arizona online
29 instruction, the average daily membership shall be apportioned between the
30 school district and Arizona online instruction or the charter school and
31 Arizona online instruction and shall not exceed 1.0. The apportionment
32 shall be based on the percentage of total time that the student is
33 enrolled in or in attendance at the school district and Arizona online
34 instruction or the charter school and Arizona online instruction.

35 (vii) For homebound or hospitalized, a student receiving at least
36 four hours of instruction per week.

37 (c) "Regular school day" means the regularly scheduled class
38 periods intended for instructional purposes. Instructional purposes may
39 include core subjects, elective subjects, lunch, study halls, music
40 instruction and other classes that advance the academic instruction of
41 pupils. Instructional purposes do not include athletic practices or
42 extracurricular clubs and activities.

43 2. "Budget year" means the fiscal year for which the school
44 district is budgeting and that immediately follows the current year.

45 3. "Common school district" means a political subdivision of this
46 state offering instruction to students in programs for preschool children
47 with disabilities and kindergarten programs and either:

1 (a) Grades one through eight.

2 (b) Grades one through nine pursuant to section 15-447.01.

3 4. "Current year" means the fiscal year in which a school district
4 is operating.

5 5. "Daily attendance" means:

6 (a) For common schools, days in which a pupil:

7 (i) Of a kindergarten program or ungraded, but not group B children
8 with disabilities, who is at least five, but under six, years of age by
9 September 1 attends at least three-quarters of the instructional time
10 scheduled for the day. If the total instruction time scheduled for the
11 year is at least three hundred fifty-six hours but is less than seven
12 hundred twelve hours, such attendance shall be counted as one-half day of
13 attendance. If the instructional time scheduled for the year is at least
14 six hundred ninety-two hours, "daily attendance" means days in which a
15 pupil attends at least one-half of the instructional time scheduled for
16 the day. Such attendance shall be counted as one-half day of attendance.
17 A school district or charter school may satisfy any of the time and hours
18 requirements prescribed in this item in any manner prescribed in the
19 school district's or charter school's instructional time model adopted
20 under section 15-901.08.

21 (ii) Of the first, second or third grades attends more than
22 three-quarters of the instructional time scheduled for the day. A school
23 district or charter school may satisfy any of the time and hours
24 requirements prescribed in this item in any manner prescribed in the
25 school district's or charter school's instructional time model adopted
26 under section 15-901.08.

27 (iii) Of the fourth, fifth or sixth grades attends more than
28 three-quarters of the instructional time scheduled for the day, except as
29 provided in section 15-797. A school district or charter school may
30 satisfy any of the time and hours requirements prescribed in this item in
31 any manner prescribed in the school district's or charter school's
32 instructional time model adopted under section 15-901.08.

33 (iv) Of the seventh or eighth grades attends more than
34 three-quarters of the instructional time scheduled for the day, except as
35 provided in section 15-797. A school district or charter school may
36 satisfy any of the time and hours requirements prescribed in this item in
37 any manner prescribed in the school district's or charter school's
38 instructional time model adopted under section 15-901.08.

39 (b) For common schools, the attendance of a pupil at three-quarters
40 or less of the instructional time scheduled for the day shall be counted
41 as follows, except as provided in section 15-797 and except that
42 attendance for a fractional student shall not exceed the pupil's
43 fractional membership:

44 (i) If attendance for all pupils in the school is based on quarter
45 days, the attendance of a pupil shall be counted as one-fourth of a day's
46 attendance for each one-fourth of full-time instructional time attended.
47 A school district or charter school may satisfy any of the time and hours

1 requirements prescribed in this item in any manner prescribed in the
2 school district's or charter school's instructional time model adopted
3 under section 15-901.08.

4 (ii) If attendance for all pupils in the school is based on half
5 days, the attendance of at least three-quarters of the instructional time
6 scheduled for the day shall be counted as a full day's attendance and
7 attendance at a minimum of one-half but less than three-quarters of the
8 instructional time scheduled for the day equals one-half day of
9 attendance. A school district or charter school may satisfy any of the
10 time and hours requirements prescribed in this item in any manner
11 prescribed in the school district's or charter school's instructional time
12 model adopted under section 15-901.08.

13 (c) For common schools, the attendance of a preschool child with
14 disabilities shall be counted as one-fourth day's attendance for each
15 thirty-six minutes of attendance, except as provided in paragraph 1,
16 subdivision (a), item (i) of this subsection for children with
17 disabilities up to a maximum of three hundred sixty minutes each week. A
18 school district or charter school may satisfy any of the time and hours
19 requirements prescribed in this subdivision in any manner prescribed in
20 the school district's or charter school's instructional time model adopted
21 under section 15-901.08.

22 (d) For high schools, the attendance of a pupil shall not be
23 counted as a full day unless the pupil is actually and physically in
24 attendance and enrolled in and carrying four subjects, each of which, if
25 taught each school day for the minimum number of days required in a school
26 year, would meet a minimum of one hundred twenty-three hours a year, or
27 the equivalent, that count toward graduation in a recognized high school
28 except as provided in section 15-797 and subdivision (e) of this
29 paragraph. Attendance of a pupil carrying less than the load prescribed
30 shall be prorated. A school district or charter school may satisfy any of
31 the time and hours requirements prescribed in this subdivision in any
32 manner prescribed in the school district's or charter school's
33 instructional time model adopted under section 15-901.08.

34 (e) For high schools, the attendance of a pupil may be counted as
35 one-fourth of a day's attendance for each sixty minutes of instructional
36 time in a subject that counts toward graduation, except that attendance
37 for a pupil shall not exceed the pupil's full or fractional membership. A
38 school district or charter school may satisfy any of the time and hours
39 requirements prescribed in this subdivision in any manner prescribed in
40 the school district's or charter school's instructional time model adopted
41 under section 15-901.08.

42 (f) For homebound or hospitalized, a full day of attendance may be
43 counted for each day during a week in which the student receives at least
44 four hours of instruction. A school district or charter school may
45 satisfy any of the time and hours requirements prescribed in this
46 subdivision in any manner prescribed in the school district's or charter
47 school's instructional time model adopted under section 15-901.08.

1 (g) For school districts that maintain school for an approved
2 year-round school year operation, attendance shall be based on a
3 computation, as prescribed by the superintendent of public instruction, of
4 the one hundred eighty days' equivalency or two hundred days' equivalency,
5 as applicable, of instructional time as approved by the superintendent of
6 public instruction during which each pupil is enrolled. A school district
7 or charter school may satisfy any of the time and hours requirements
8 prescribed in this subdivision in any manner prescribed in the school
9 district's or charter school's instructional time model adopted under
10 section 15-901.08.

11 6. "Daily route mileage" means the sum of:

12 (a) The total number of miles driven daily by all buses of a school
13 district while transporting eligible students from their residence to the
14 school of attendance and from the school of attendance to their residence
15 on scheduled routes approved by the superintendent of public instruction.

16 (b) The total number of miles driven daily on routes approved by
17 the superintendent of public instruction for which a private party, a
18 political subdivision or a common or a contract carrier is reimbursed for
19 bringing an eligible student from the place of the student's residence to
20 a school transportation pickup point or to the school of attendance and
21 from the school transportation scheduled return point or from the school
22 of attendance to the student's residence. Daily route mileage includes
23 the total number of miles necessary to drive to transport eligible
24 students from and to their residence as provided in this paragraph.

25 7. "District support level" means the base support level plus the
26 transportation support level.

27 8. "Eligible students" means:

28 (a) Students who are transported by or for a school district and
29 who qualify as full-time students or fractional students, except students
30 for whom transportation is paid by another school district or a county
31 school superintendent, and:

32 (i) For common school students, whose place of actual residence
33 within the school district is more than one mile from the school facility
34 of attendance or students who are admitted pursuant to section 15-816.01
35 and who meet the economic eligibility requirements established under the
36 national school lunch and child nutrition acts (42 United States Code
37 sections 1751 through 1793) for free or reduced-price lunches and whose
38 actual place of residence outside the school district boundaries is more
39 than one mile from the school facility of attendance.

40 (ii) For high school students, whose place of actual residence
41 within the school district is more than one and one-half miles from the
42 school facility of attendance or students who are admitted pursuant to
43 section 15-816.01 and who meet the economic eligibility requirements
44 established under the national school lunch and child nutrition acts
45 (42 United States Code sections 1751 through 1793) for free or
46 reduced-price lunches and whose actual place of residence outside the

1 school district boundaries is more than one and one-half miles from the
2 school facility of attendance.

3 (b) Kindergarten students, for purposes of computing the number of
4 eligible students under subdivision (a), item (i) of this paragraph, shall
5 be counted as full-time students, notwithstanding any other provision of
6 law.

7 (c) Children with disabilities, as defined by section 15-761, who
8 are transported by or for the school district or who are admitted pursuant
9 to chapter 8, article 1.1 of this title and who qualify as full-time
10 students or fractional students regardless of location or residence within
11 the school district or children with disabilities whose transportation is
12 required by the pupil's individualized education program.

13 (d) Students whose residence is outside the school district and who
14 are transported within the school district on the same basis as students
15 who reside in the school district.

16 9. "Enrolled" or "enrollment" means that a pupil is currently
17 registered in the school district.

18 10. "GDP price deflator" means the average of the four implicit
19 price deflators for the gross domestic product reported by the United
20 States department of commerce for the four quarters of the calendar year.

21 11. "High school district" means a political subdivision of this
22 state offering instruction to students for grades nine through twelve or
23 that portion of the budget of a common school district that is allocated
24 to teaching high school subjects with permission of the state board of
25 education.

26 12. "Instructional hours" or "instructional time" means hours or
27 time spent pursuant to an instructional time model adopted under section
28 15-901.08.

29 13. "Revenue control limit" means the base revenue control limit
30 plus the transportation revenue control limit.

31 14. "Student count" means average daily membership as prescribed in
32 this subsection for the fiscal year before the current year, except that
33 for the purpose of budget preparation student count means average daily
34 membership as prescribed in this subsection for the current year.

35 15. "Submit electronically" means submitted in a format and in a
36 manner prescribed by the department of education.

37 16. "Total bus mileage" means the total number of miles driven by
38 all buses of a school district during the school year.

39 17. "Total students transported" means all eligible students
40 transported from their place of residence to a school transportation
41 pickup point or to the school of attendance and from the school of
42 attendance or from the school transportation scheduled return point to
43 their place of residence.

44 18. "Unified school district" means a political subdivision of this
45 state offering instruction to students in programs for preschool children
46 with disabilities and kindergarten programs and grades one through twelve.

47 B. In this title, unless the context otherwise requires:

- 1 1. "Base" means the revenue level per student count specified by
2 the legislature.
- 3 2. "Base level" means the following amounts plus the percentage
4 increase to the base level as provided in section 15-902.04:
- 5 ~~(a) For fiscal year 2023-2024, \$4,914.71.~~
6 ~~(b)~~ (a) For fiscal year 2024-2025, \$5,013.00.
7 ~~(c)~~ (b) For fiscal year 2025-2026, \$5,113.26.
8 (c) FOR FISCAL YEAR 2026-2027, \$5,215.53.
- 9 3. "Base revenue control limit" means the base revenue control
10 limit computed as provided in section 15-944.
- 11 4. "Base support level" means the base support level as provided in
12 section 15-943.
- 13 5. "Certified teacher" means a person who is certified as a teacher
14 pursuant to the rules adopted by the state board of education, who renders
15 direct and personal services to schoolchildren in the form of instruction
16 related to the school district's educational course of study and who is
17 paid from the maintenance and operation section of the budget.
- 18 6. "DD" means programs for children with developmental delays who
19 are at least three years of age but under ten years of age. A preschool
20 child who is categorized under this paragraph is not eligible to receive
21 funding pursuant to section 15-943, paragraph 2, subdivision (b).
- 22 7. "ED, MIID, SLD, SLI and OHI" means programs for children with
23 emotional disabilities, mild intellectual disabilities, a specific
24 learning disability, a speech/language impairment and other health
25 impairments. A preschool child who is categorized as SLI under this
26 paragraph is not eligible to receive funding pursuant to section 15-943,
27 paragraph 2, subdivision (b).
- 28 8. "ED-P" means programs for children with emotional disabilities
29 who are enrolled in private special education programs as prescribed in
30 section 15-765, subsection D, paragraph 1 or in an intensive school
31 district program as provided in section 15-765, subsection D, paragraph 2.
- 32 9. "ELL" means English learners who do not speak English or whose
33 native language is not English, who are not currently able to perform
34 ordinary classroom work in English and who are enrolled in an English
35 language education program pursuant to sections 15-751, 15-752 and 15-753.
- 36 10. "FRPL" means students who meet the eligibility requirements
37 established under the national school lunch and child nutrition acts
38 (42 United States Code sections 1751 through 1793) for free or
39 reduced-price lunches, or an equivalent measure recognized for
40 participating in the federal free and reduced-price lunch program and
41 other school programs dependent on a poverty measure, including the
42 community eligibility provision for which free and reduced-price lunch
43 data is not available.
- 44 11. "Full-time equivalent certified teacher" or "FTE certified
45 teacher" means for a certified teacher the following:
- 46 (a) If employed ~~full-time~~ FULL-TIME as defined in section 15-501,
47 1.00.

1 (b) If employed less than ~~full-time~~ FULL-TIME, multiply 1.00 by the
2 percentage of a full school day, or its equivalent, or a full class load,
3 or its equivalent, for which the teacher is employed as determined by the
4 governing board.

5 12. "G" means educational programs for gifted pupils who score at
6 or above the ninety-seventh percentile, based on national norms, on a test
7 adopted by the state board of education.

8 13. "Group A" means educational programs for career exploration, a
9 specific learning disability, an emotional disability, a mild intellectual
10 disability, remedial education, a speech/language impairment,
11 developmental delay, homebound pupils, bilingual pupils and pupils with
12 other health impairments.

13 14. "Group B" means educational improvements for pupils in
14 kindergarten programs and grades one through three, educational programs
15 for autism, a hearing impairment, a moderate intellectual disability,
16 multiple disabilities, multiple disabilities with severe sensory
17 impairment, orthopedic impairments, preschool severe delay, a severe
18 intellectual disability and emotional disabilities for school age pupils
19 enrolled in private special education programs or in school district
20 programs for children with severe disabilities or visual impairment,
21 English learners enrolled in a program to promote English language
22 proficiency pursuant to section 15-752 and students who meet the
23 eligibility requirements established under the national school lunch and
24 child nutrition acts (42 United States Code sections 1751 through 1793)
25 for free or reduced-price lunches, or an equivalent measure recognized for
26 participating in the federal free and reduced-price lunch program and
27 other school programs dependent on a poverty measure, including the
28 community eligibility provision for which free and reduced-price lunch
29 data is not available.

30 15. "HI" means programs for pupils with hearing impairment.

31 16. "Homebound" or "hospitalized" means a pupil who is capable of
32 profiting from academic instruction but is unable to attend school due to
33 illness, disease, accident or other health conditions, who has been
34 examined by a competent medical doctor and who is certified by that doctor
35 as being unable to attend regular classes for a period of ~~not less than~~ AT
36 LEAST three school months or a pupil who is capable of profiting from
37 academic instruction but is unable to attend school regularly due to
38 chronic or acute health problems, who has been examined by a competent
39 medical doctor and who is certified by that doctor as being unable to
40 attend regular classes for intermittent periods of time totaling three
41 school months during a school year. The medical certification shall state
42 the general medical condition, such as illness, disease or chronic health
43 condition, that is the reason that the pupil is unable to attend
44 school. Homebound or hospitalized includes a student who is unable to
45 attend school for a period of less than three months due to a pregnancy if
46 a competent medical doctor, after an examination, certifies that the

1 student is unable to attend regular classes due to risk to the pregnancy
2 or to the student's health.

3 17. "K-3" means kindergarten programs and grades one through three.

4 18. "K-3 reading" means reading programs for pupils in kindergarten
5 programs and grades one, two and three.

6 19. "MD-R, A-R and SID-R" means resource programs for pupils with
7 multiple disabilities, autism and severe intellectual disability.

8 20. "MD-SC, A-SC and SID-SC" means self-contained programs for
9 pupils with multiple disabilities, autism and severe intellectual
10 disability.

11 21. "MD-SSI" means a program for pupils with multiple disabilities
12 with severe sensory impairment.

13 22. "MOID" means programs for pupils with moderate intellectual
14 disability.

15 23. "OI-R" means a resource program for pupils with orthopedic
16 impairments.

17 24. "OI-SC" means a self-contained program for pupils with
18 orthopedic impairments.

19 25. "PSD" means preschool programs for children with disabilities
20 as provided in section 15-771.

21 26. "P-SD" means programs for children who meet the definition of
22 preschool severe delay as provided in section 15-771.

23 27. "Qualifying tax rate" means the qualifying tax rate specified
24 in section 15-971 applied to the assessed valuation used for primary
25 property taxes.

26 28. "Small isolated school district" means a school district that
27 meets all of the following:

28 (a) Has a student count of fewer than six hundred in kindergarten
29 programs and grades one through eight or grades nine through twelve.

30 (b) Contains no school that is fewer than thirty miles by the most
31 reasonable route from another school, or, if road conditions and terrain
32 make the driving slow or hazardous, fifteen miles from another school that
33 teaches one or more of the same grades and is operated by another school
34 district in this state.

35 (c) Is designated as a small isolated school district by the
36 superintendent of public instruction.

37 29. "Small school district" means a school district that meets all
38 of the following:

39 (a) Has a student count of fewer than six hundred in kindergarten
40 programs and grades one through eight or grades nine through twelve.

41 (b) Contains at least one school that is fewer than thirty miles by
42 the most reasonable route from another school that teaches one or more of
43 the same grades and is operated by another school district in this state.

44 (c) Is designated as a small school district by the superintendent
45 of public instruction.

46 30. "Transportation revenue control limit" means the transportation
47 revenue control limit computed as prescribed in section 15-946.

1 31. "Transportation support level" means the support level for
2 pupil transportation operating expenses as provided in section 15-945.

3 32. "VI" means programs for pupils with visual impairments.

4 Sec. 3. Section 15-945, Arizona Revised Statutes, is amended to
5 read:

6 15-945. Transportation support level

7 A. The support level for to and from school for each school
8 district for the current year shall be computed as follows:

9 1. Determine the approved daily route mileage of the school
10 district for the fiscal year prior to the current year.

11 2. Multiply the figure obtained in paragraph 1 of this subsection
12 by one hundred eighty, or for a school district that elects to provide AT
13 LEAST two hundred days of instruction pursuant to section 15-902.04,
14 multiply the figure obtained in paragraph 1 of this subsection by two
15 hundred.

16 3. Determine the number of eligible students transported in the
17 fiscal year prior to the current year.

18 4. Divide the amount determined in paragraph 1 of this subsection
19 by the amount determined in paragraph 3 of this subsection to determine
20 the approved daily route mileage per eligible student transported.

21 5. Determine the classification in column 1 of this paragraph for
22 the quotient determined in paragraph 4 of this subsection. Multiply the
23 product obtained in paragraph 2 of this subsection by the corresponding
24 state support level for each route mile as provided in column 2 of this
25 paragraph.

26 Column 1

27 Approved Daily Route

28 Mileage per Eligible

29 Student Transported

30 0.5 or less

31 More than 0.5 through 1.0

32 More than 1.0

Column 2

State Support Level per

Route Mile for

Fiscal Year ~~2025-2026~~ 2026-2027

~~3.01~~ 3.07

~~2.47~~ 2.52

~~3.01~~ 3.07

33 6. Add the amount spent during the prior fiscal year for bus tokens
34 and bus passes for students who qualify as eligible students as defined in
35 section 15-901.

36 B. The support level for academic education, career and technical
37 education, vocational education and athletic trips for each school
38 district for the current year is computed as follows:

39 1. Determine the classification in column 1 of paragraph 2 of this
40 subsection for the quotient determined in subsection A, paragraph 4 of
41 this section.

42 2. Multiply the product obtained in subsection A, paragraph 5 of
43 this section by the corresponding state support level for academic
44 education, career and technical education, vocational education and
45 athletic trips as provided in column 2, 3 or 4 of this paragraph,
46 whichever is appropriate for the type of district.

<u>Column 1</u>	<u>Column 2</u>	<u>Column 3</u>	<u>Column 4</u>
Approved Daily Route			
Mileage per Eligible	District Type	District Type	District Type
<u>Student Transported</u>	<u>02 or 03</u>	<u>04</u>	<u>05</u>
0.5 or less	0.15	0.10	0.25
More than 0.5 through 1.0	0.15	0.10	0.25
More than 1.0	0.18	0.12	0.30

For the purposes of this paragraph, "district type 02" means a unified school district or an accommodation school that offers instruction in grades nine through twelve, "district type 03" means a common school district not within a high school district, "district type 04" means a common school district within a high school district or an accommodation school that does not offer instruction in grades nine through twelve and "district type 05" means a high school district.

C. The support level for extended school year services for pupils with disabilities is computed as follows:

1. Determine the sum of the following:

(a) The total number of miles driven by all buses of a school district while transporting eligible pupils with disabilities on scheduled routes from their residence to the school of attendance and from the school of attendance to their residence on routes for extended school year services in accordance with section 15-881.

(b) The total number of miles driven on routes approved by the superintendent of public instruction for which a private party, a political subdivision or a common or a contract carrier is reimbursed for bringing an eligible pupil with a disability from the place of the pupil's residence to a school transportation pickup point or to the school facility of attendance and from the school transportation scheduled return point or from the school facility to the pupil's residence for extended school year services in accordance with section 15-881.

2. Multiply the sum determined in paragraph 1 of this subsection by the state support level for the district determined as provided in subsection A, paragraph 5 of this section.

D. The transportation support level for each school district for the current year is the sum of the support level for to and from school as determined in subsection A of this section, the support level for academic education, career and technical education, vocational education and athletic trips as determined in subsection B of this section and the support level for extended school year services for pupils with disabilities as determined in subsection C of this section.

E. The state support level for each approved route mile, as provided in subsection A, paragraph 5 of this section, shall be adjusted by the growth rate prescribed by law, subject to appropriation.

F. School districts must provide the odometer reading for each bus as of the end of the current year and the total bus mileage during the current year.

1 G. A school district may include route mileage and the number of
2 riders to calculate funding pursuant to this section for transporting
3 eligible students using motor vehicles described in section 15-925.

4 Sec. 4. Title 15, chapter 11, article 1, Arizona Revised Statutes,
5 is amended by adding section 15-1307, to read:

6 15-1307. Property proceeds fund; expenditure plan; review;
7 requirements for disposition of school buildings
8 and grounds

9 A. THE PROPERTY PROCEEDS FUND IS ESTABLISHED CONSISTING OF THE
10 PROCEEDS FROM THE SALE OR LEASE OF SCHOOL BUILDINGS AND GROUNDS. THE
11 SCHOOLS SHALL ADMINISTER THE FUND AND, EXCEPT AS PROVIDED IN SUBSECTION D
12 OF THIS SECTION, SHALL DEPOSIT IN THE FUND ALL MONIES THAT THE SCHOOLS
13 RECEIVE FOR THE SALE OR LEASE OF SCHOOL BUILDINGS AND GROUNDS ON OR AFTER
14 JULY 1, 2026. MONIES IN THE FUND ARE SUBJECT TO LEGISLATIVE APPROPRIATION
15 AND ARE EXEMPT FROM THE PROVISIONS OF SECTION 35-190 RELATING TO LAPSING
16 OF APPROPRIATIONS. ON NOTICE FROM THE SCHOOLS, THE STATE TREASURER SHALL
17 INVEST AND DIVEST MONIES IN THE FUND AS PROVIDED BY SECTION 35-313, AND
18 MONIES EARNED FROM INVESTMENT SHALL BE CREDITED TO THE FUND.

19 B. IN ANY FISCAL YEAR IN WHICH THE LEGISLATURE APPROPRIATES MONIES
20 FROM THE PROPERTY PROCEEDS FUND TO THE SCHOOLS, THE SCHOOLS SHALL PREPARE
21 AN EXPENDITURE PLAN FOR THE MONIES AND SHALL SUBMIT THE PLAN TO THE JOINT
22 LEGISLATIVE BUDGET COMMITTEE FOR REVIEW.

23 C. BEFORE THE SCHOOLS MAY SELL SCHOOL BUILDINGS OR GROUNDS, THE
24 SCHOOLS SHALL DO ALL OF THE FOLLOWING:

25 1. DETERMINE THE APPRAISED VALUE OF THE SCHOOL BUILDINGS OR GROUNDS
26 BY ORDERING INDEPENDENT APPRAISALS FROM AT LEAST TWO DIFFERENT FIRMS. THE
27 SCHOOLS SHALL PROCURE APPRAISAL SERVICES PURSUANT TO TITLE 41, CHAPTER 23
28 AND SHALL AWARD A CONTRACT FOR APPRAISAL SERVICES TO A FIRM ONLY IF THE
29 APPRAISER IS WELL QUALIFIED AND A DESIGNATED MEMBER OF A NATIONALLY
30 RECOGNIZED REAL ESTATE APPRAISAL ASSOCIATION, INSTITUTE OR SOCIETY. THE
31 SCHOOLS MAY USE ANY APPRAISAL THAT IS ORDERED PURSUANT TO THIS PARAGRAPH
32 AS THE APPRAISED VALUE OF THE SCHOOL BUILDINGS OR GROUNDS.

33 2. SUBMIT A PROPOSAL TO SELL SCHOOL BUILDINGS OR GROUNDS TO THE
34 JOINT COMMITTEE ON CAPITAL REVIEW FOR REVIEW.

35 3. SELL THE SCHOOL BUILDINGS OR GROUNDS PURSUANT TO SECTION 37-803.

36 D. THE SCHOOLS ARE NOT REQUIRED TO DEPOSIT MONIES IN THE PROPERTY
37 PROCEEDS FUND IF THE SCHOOLS RECEIVE THE MONIES FOR ANY OF THE FOLLOWING:

38 1. FEES, RENTALS AND OTHER CHARGES FOR THE USE OF SCHOOL FACILITIES
39 FOR NONSCHOOL EVENTS AS DESCRIBED IN SECTION 15-1323.

40 2. PROCEEDS FROM THE LEASE OF SCHOOL BUILDINGS OR GROUNDS TO A
41 SCHOOL.

42 3. PROCEEDS FROM THE LEASE OF SCHOOL BUILDINGS OR GROUNDS FOR A
43 PERIOD OF LESS THAN ONE YEAR. A LEASE OF SCHOOL BUILDINGS OR GROUNDS FOR
44 LESS THAN ONE YEAR THAT INCLUDES AN AUTOMATIC LEASE RENEWAL RESULTING IN A
45 TOTAL LEASE DURATION THAT EXCEEDS ONE YEAR IS CONSIDERED A LEASE FOR MORE
46 THAN ONE YEAR FOR THE PURPOSES OF THIS PARAGRAPH.

1 Sec. 5. Section 41-1276, Arizona Revised Statutes, is amended to
2 read:

3 41-1276. Truth in taxation levy for equalization assistance
4 to school districts

5 A. On or before February 15 of each year, the joint legislative
6 budget committee shall compute and transmit the truth in taxation rates
7 for equalization assistance for school districts for the following fiscal
8 year to:

9 1. The chairpersons of the house of representatives ways and means
10 committee and the senate finance committee, or their successor committees.

11 2. The chairpersons of the appropriations committees of the senate
12 and the house of representatives, or their successor committees.

13 B. The truth in taxation rates consist of the qualifying tax rate
14 for a high school district or a common school district within a high
15 school district that does not offer instruction in high school subjects
16 pursuant to section 15-971, subsection B, paragraph 1 and a qualifying tax
17 rate for a unified district, a common school district not within a high
18 school district or a common school district within a high school district
19 that offers instruction in high school subjects pursuant to section
20 15-971, subsection B, paragraph 2 that will offset the change in net
21 assessed valuation of property that was subject to tax in the prior year.

22 C. The joint legislative budget committee shall compute the truth
23 in taxation rates as follows:

24 1. Determine the statewide net assessed value for the preceding tax
25 year as provided in section 42-17151, subsection A, paragraph 3.

26 2. Determine the statewide net assessed value for the current tax
27 year, excluding the net assessed value of property that was not subject to
28 tax in the preceding year.

29 3. Divide the amount determined in paragraph 1 of this subsection
30 by the amount determined in paragraph 2 of this subsection.

31 4. Adjust the qualifying tax rates for the current fiscal year by
32 the percentage determined in paragraph 3 of this subsection in order to
33 offset the change in net assessed value.

34 D. Except as provided in subsections E and G of this section, the
35 qualifying tax rate for a high school district or a common school district
36 within a high school district that does not offer instruction in high
37 school subjects and the qualifying tax rate for a unified school district,
38 a common school district not within a high school district or a common
39 school district within a high school district that offers instruction in
40 high school subjects for the following fiscal year shall be the rate
41 determined by the joint legislative budget committee pursuant to
42 subsection C of this section. The committee shall transmit the rates to
43 the superintendent of public instruction and the county boards of
44 supervisors by March 15 of each year.

45 E. If the legislature proposes qualifying tax rates that exceed the
46 truth in taxation rate:

1 1. The house of representatives ways and means committee and the
2 senate finance committee, or their successor committees, shall hold a
3 joint hearing on or before February 28 and publish a notice of a truth in
4 taxation hearing subject to the following requirements:

5 (a) The notice shall be published twice in a newspaper of general
6 circulation in this state that is published at the state capital. The
7 first publication shall be at least fourteen but not more than twenty days
8 before the date of the hearing. The second publication shall be at least
9 seven but not more than ten days before the date of the hearing.

10 (b) The notice shall be published in a location other than the
11 classified or legal advertising section of the newspaper.

(c) The notice shall be at least one-fourth page in size and shall be surrounded by a solid black border at least one-eighth inch in width.

(d) The notice shall be in the following form, with the "truth in taxation hearing – notice of tax increase" headline in at least eighteen-point type:

Truth in Taxation Hearing

Notice of Tax Increase

19 In compliance with section 41-1276, Arizona Revised
20 Statutes, the state legislature is notifying property
21 taxpayers in Arizona of the legislature's intention to raise
22 the property tax levy over last year's level.

23 The proposed tax increase will cause the taxes on a
24 \$100,000 home to be \$(total proposed taxes including the tax
25 increase). Without the proposed tax increase, the total taxes
26 that would be owed on a \$100,000 home would have been
27 \$.

28 All interested citizens are invited to attend a public
29 hearing on the tax increase that is scheduled to be held
30 (date and time) at (location).

31 (e) For the purposes of computing the tax increase on a \$100,000
32 home as required by the notice, the joint meeting of the house of
33 representatives ways and means committee and the senate finance committee,
34 or their successor committees, shall consider the difference between the
35 truth in taxation rate and the proposed increased rate.

36 2. The joint meeting of the house of representatives ways and means
37 committee and the senate finance committee, or their successor committees,
38 shall consider any motion to recommend the proposed tax rates to the full
39 legislature by roll call vote.

40 F. In addition to publishing the truth in taxation notice under
41 subsection E, paragraph 1 of this section, the joint meeting of the house
42 of representatives ways and means committee and the senate finance
43 committee, or their successor committees, shall issue a press release
44 containing the truth in taxation notice.

45 G. Notwithstanding any other law, the legislature shall not adopt a
46 state budget that provides for qualifying tax rates pursuant to section
47 15-971 that exceed the truth in taxation rates computed pursuant to

1 subsection A of this section unless the rates are adopted by a concurrent
2 resolution approved by an affirmative roll call vote of two-thirds of the
3 members of each house of the legislature before the legislature enacts the
4 general appropriations bill. If the resolution is not approved by
5 two-thirds of the members of each house of the legislature, the rates for
6 the following fiscal year shall be the truth in taxation rates determined
7 pursuant to subsection C of this section and shall be transmitted to the
8 superintendent of public instruction and the county boards of supervisors.

9 H. Notwithstanding subsection C of this section and if approved by
10 the qualified electors voting at a statewide general election, the
11 legislature shall not set a qualifying tax rate that exceeds \$2.1265 for a
12 common or high school district or \$4.253 for a unified school district.
13 The legislature shall not set a county equalization assistance for
14 education rate that exceeds \$0.5123.

15 I. Pursuant to subsection C of this section, the qualifying tax
16 rate in tax year ~~2025~~ 2026 for a high school district or a common school
17 district within a high school district that does not offer instruction in
18 high school subjects as provided in section 15-447 is ~~\$1.5606~~ \$1.5128 and
19 for a unified school district, a common school district not within a high
20 school district or a common school district within a high school district
21 that offers instruction in high school subjects as provided in section
22 15-447 is ~~\$3.1212~~ \$3.0256.

23 Sec. 6. Failing schools tutoring fund; use of monies; fiscal
24 year 2026-2027; report

25 A. Notwithstanding section 15-241, Arizona Revised Statutes, the
26 department of education may use monies in the failing schools tutoring
27 fund established by section 15-241, Arizona Revised Statutes, in fiscal
28 year 2026-2027 for the following school improvements:

29 1. To provide assistance to school districts and charter schools
30 for professional development and coaching for teachers and principals.

31 2. To monitor the progress of school districts and charter schools
32 toward improved academic outcomes.

33 3. Outreach to ensure that schools and parents have access to
34 tutoring opportunities.

35 B. On or before September 1, 2026, the department of education
36 shall report the proposed expenditures for fiscal year 2026-2027 pursuant
37 to subsection A of this section to the governor, the president of the
38 senate, the speaker of the house of representatives, the director of the
39 joint legislative budget committee and the director of the governor's
40 office of strategic planning and budgeting.

41 ~~<<Sec. 7. School safety and threat identification pilot~~
42 ~~program; biometric identification system; report;~~
43 ~~delayed repeat~~

44 ~~A. The school safety and threat identification pilot program is~~
45 ~~established in the department of education. The department shall select a~~
46 ~~school district that has requested to participate in the program and that~~
47 ~~has at least eighty but not more than eighty-five schools and that~~

~~1 provides instruction to students in kindergarten programs and each of
2 grades one through twelve to participate in the program. If sufficient
3 monies are available, the participating school district shall install a
4 biometric identification system, including at least two camera sensors, in
5 each school building that:~~

~~6 1. Detects the presence of individuals who are registered sex
7 offenders or who have a criminal history record.~~

~~8 2. Supports the identification of missing, endangered or runaway
9 minors if information about the minor has been lawfully provided to the
10 school district and an alert has been authorized.~~

~~11 3. Issues an alert within sixty seconds, subject to the following:~~

~~12 (a) An alert may be filtered by the district.~~

~~13 (b) Each potential alert is reviewed by a trained analyst before
14 the alert is issued.~~

~~15 4. Complies with state and federal privacy laws.~~

~~16 5. Uses data that is derived from verified law enforcement
17 agencies.~~

~~18 6. Does not:~~

~~19 (a) Record or store video or audio footage.~~

~~20 (b) Transmit or store biometric data.~~

~~21 (c) Store images in the camera sensors.~~

~~22 (d) Allow live monitoring or viewing of any camera sensor footage.~~

~~23 B. On or before September 30, 2027, the department of education
24 shall report to the governor, the speaker of the house of representatives
25 and the president of the senate, and shall submit a copy of the report to
26 the secretary of state, on the implementation of the school safety and
27 threat identification pilot program established by this section.~~

~~28 C. This section is repealed from and after December 31, 2027.>>>~~

~~29 Sec. 7. Child sexual abuse and assault awareness and
30 prevention pilot program; contract; provider;
31 curriculum development; posting requirements;
32 distribution of materials to new parents by the
33 department of health services; reporting
34 requirements; delayed repeal; definitions~~

~~35 A. The child sexual abuse and assault awareness and prevention
36 pilot program is established in the department of education. On or before
37 July 1, 2027, the department of education shall allow public schools to
38 apply to participate in the pilot program and shall select six public
39 schools from the applicants to participate in the pilot program during the
40 2027-2028 school year. The department of education shall consult with the
41 department of child safety and organizations that are operated by
42 survivors of grooming or human trafficking in developing the pilot program
43 established by this subsection and the curriculum developed pursuant to
44 subsection B, paragraph 3 of this section. The pilot program must
45 include:~~

~~46 1. For teachers, at least four hours of in-person, evidence-based
47 instructional modules that are provided by an organization that is~~

1 selected pursuant to subsection B, paragraph 2 of this section and that
2 may include the following:

3 (a) Training regarding the prevention and identification of, and
4 responses to, child sexual abuse and assault, including exploitation,
5 grooming, grooming with the intent to exploit and technology-facilitated
6 abuse.

7 (b) Resources to further student, teacher and parental awareness
8 and prevention of child sexual abuse and assault, including exploitation,
9 grooming, grooming with the intent to exploit and technology-facilitated
10 abuse.

11 2. For the parents of students who are enrolled in the
12 participating schools, at least three hours of in-person, evidence-based
13 instruction provided by an organization that is selected pursuant to
14 subsection B, paragraph 2 of this section and age-appropriate educational
15 materials that are designed for children in kindergarten programs or any
16 of grades one through twelve regarding child sexual abuse and assault
17 awareness and prevention, including exploitation, grooming behaviors and
18 grooming with the intent to exploit. The evidence-based instruction
19 [provided] [that an organization provides to the parents of students who
20 are enrolled in the participating school] pursuant to this paragraph may
21 include instruction in:

22 (a) Skills to recognize the following:

23 (i) Child sexual abuse and assault.

24 (ii) Boundary violations and unwanted forms of contact.

25 (iii) Grooming behaviors, including manipulation, trust building,
26 secrecy, desensitization and isolation.

27 (iv) Exploitation and grooming with the intent to exploit,
28 including online grooming, sextortion and technology-facilitated
29 exploitation.

30 (v) Patterns, tactics and warning signs associated with grooming
31 and exploitation.

32 (b) Strategies that:

33 (i) Promote disclosure.

34 (ii) Reduce self-blame.

35 (iii) Mobilize bystanders.

36 3. A uniform child sexual abuse and assault response policy and
37 reporting procedure that is based on best practices and that may include:

38 (a) Actions that victims of child sexual abuse and assault may take
39 to obtain assistance.

40 (b) Intervention and counseling options for victims of child sexual
41 abuse and assault.

42 (c) Access to educational resources to enable victims of child
43 sexual abuse and assault to succeed in school.

44 (d) Uniform procedures for reporting instances of child sexual
45 abuse and assault to school staff members.

46 [(e) Uniform procedures for notifying the parents of any student
47 who is a victim of an incident that involves child sexual abuse, child

1 sexual assault, grooming, exploitation, grooming with the intent to
2 exploit or technology-facilitated abuse not later than twenty-four hours
3 after any school personnel become aware of the incident.]

4 B. The department of education:

5 1. May contract with a provider to implement the pilot program
6 established by subsection A of this section if the provider demonstrates
7 that the provider is able to meet all of the requirements prescribed by
8 subsection A of this section.

9 2. Shall select one or more organizations to provide the
10 instructional modules for teachers pursuant to subsection A, paragraph 1
11 of this section or the instruction for the parents of students pursuant to
12 subsection A, paragraph 2 of this section, or both. The department of
13 education shall select an organization pursuant to this paragraph only if
14 the organization meets both of the following:

15 (a) Is organized and operated for the purpose of preventing child
16 sexual abuse, promoting grooming awareness or preventing human
17 trafficking.

18 (b) Ensures that the individuals who will provide instruction to
19 teachers and parents of students are either qualified survivors of
20 grooming or human trafficking or advocates who have direct expertise in
21 child sexual abuse, grooming and human trafficking prevention.

22 3. Beginning on the effective date of this section, shall gather
23 stakeholder input to develop a curriculum for the pilot program, including
24 scheduling stakeholder meetings, subject to the following:

25 (a) The department of education shall solicit input from
26 representatives of each of the following:

27 (i) The department of child safety.

28 (ii) Organizations that are organized and operated for the purpose
29 of preventing child sexual abuse, grooming or human trafficking.

30 (iii) Survivors of child sexual abuse, grooming and human
31 trafficking.

32 (b) The department of education shall select an organization to
33 develop the curriculum for the pilot program, coordinate stakeholder input
34 and ensure that the curriculum is survivor-informed and
35 prevention-focused. The department of education shall select an
36 organization that both:

37 (i) Is organized and operated for the purpose of preventing child
38 sexual abuse, grooming or human trafficking.

39 (ii) Demonstrates that the organization has experience providing
40 survivor-informed prevention education.

41 (c) The curriculum developed pursuant to subdivision (b) of this
42 paragraph is subject to approval by the state board of education and the
43 department of education.

44 4. Shall make the educational materials described in subsection A,
45 paragraph 2 of this section available to the public on the department of
46 education's website and provide the webpage address for the educational

1 materials to each participating school and to the director of the
2 department of health services.

3 [5. Shall select an organization to provide by mail a printed copy
4 of the educational materials described in subsection A, paragraph 2 of
5 this section on receipt of any request that is submitted pursuant to
6 subsection C, paragraph 2, subdivision (b) of this section. If sufficient
7 monies are available, the department of education may reimburse the
8 organization that is selected pursuant to this paragraph for the actual
9 costs of providing printed copies of the educational materials to the
10 parents of students.]

11 C. A public school that participates in the pilot program
12 established by subsection A of this section:

13 1. May not require any parent to participate in the pilot program.

14 2. On enrollment of a student, shall provide to the student's
15 parent [both:

16 (a)] The webpage address described in subsection B, paragraph 4 of
17 this section.

18 [(b) An opportunity to request a printed copy of the educational
19 materials described in subsection A, paragraph 2 of this section. If a
20 student's parent requests a printed copy of the educational materials
21 pursuant to this subdivision and authorizes the school to disclose the
22 parent's address, the school shall submit the request and address to the
23 organization that is selected by the department of education pursuant to
24 subsection B, paragraph 5 of this section, and the organization shall mail
25 a printed copy of the educational materials to the student's parent.]

26 D. On or before October 1, 2028, each public school that
27 participates in the pilot program established by subsection A of this
28 section shall submit a report to the department of education and a copy of
29 the report to the department of child safety that includes all of the
30 following:

31 1. The number of parents who received evidence-based instruction
32 through the pilot program, together with the number of hours of
33 instruction that the organization that is selected pursuant to subsection
34 B, paragraph 2 of this section provided.

35 2. The number of teachers who completed the evidence-based
36 instructional modules provided through the pilot program.

37 3. Any testimony or comments from teachers or the parents of
38 students relating to the pilot program.

39 4. Whether the school intends to continue providing instructional
40 modules to teachers or instruction to the parents of students, or both,
41 through an organization that is selected pursuant to subsection B,
42 paragraph 2 of this section in subsequent school years.

43 E. The department of health services shall include in the
44 educational materials and information that is compiled and provided to new
45 parents pursuant to section 36-503.04, Arizona Revised Statutes, the
46 webpage address described in subsection B, paragraph 4 of this section.

47 F. For the purposes of this section:

1 1. "Grooming" means a pattern of conduct used to gain a minor's
2 trust, desensitize the minor to inappropriate conduct and facilitate
3 exploitation.

4 2. "Exploitation" means the manipulation, abuse or use of a minor
5 for sexual purposes, sexual conduct, sexual trafficking, sexual extortion
6 or other sexual abuse.

7 F. This section is repealed from and after December 31, 2028.

| 8 Sec. 8. Department of education; state aid; fiscal year
9 2024-2025 recalculation; fiscal year 2026-2027
10 increase; delayed repeal

11 A. Notwithstanding section 15-915, subsection B, Arizona Revised
12 Statutes, the department of education shall recalculate the state aid for
13 the Alhambra elementary school district in fiscal year 2024-2025 as the
14 result of a change in the assessed valuation of property within the school
15 district and shall increase the state aid for the Alhambra elementary
16 school district in fiscal year 2026-2027 by \$852,200.

17 B. This section is repealed from and after December 31, 2027.

| 18 Sec. 9. Intent

19 The governor and the legislature intend that school districts
20 increase the total percentage of classroom spending over the previous
21 year's percentages in the combined categories of instruction, student
22 support and instructional support as prescribed by the auditor general.

23 Enroll and engross to conform

24 Amend title to conform

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